Carnival Corp (CCL)

Recommendation. Pass. This is a view of the company, not a trade: the expected profit does not beat trading costs. If the money went elsewhere, the best alternative in this run is NCLH. Position size and hedge: open until the call passes.

The combined view: four groups, one estimate

Each group of methods estimates the same thing: what the bond should earn above a hedge, in bp a year. The combined estimate weighs the four groups. It ranks 3 of the issuers in this run. 4 of 5 groups point the same way as the combination.

Group	bp a year	Weight	Adds	Call
G1. Core process	+72	45%	+32	leans to owning
G2 clocks. Two clocks	+88	20%	+18	leans to owning
G2 rest. Built methods (rest)	+16	12%	+2	leans to owning
G3. Credit skills	+0	12%	+0	no objection
G4. Books	+100	12%	+12	leans to owning
Combined, before trading costs			**+63**	
Trading costs			-174	
Combined, after trading costs			**-110**	
Weighted cases and stories alone, after costs			-116	
Calibrated: after-cost number x measured slope 0.079			-9	

Against the weighted cases and stories alone, the combination is 6 bp a year higher: the other methods add to the case for owning the bond. A group that supports owning must beat the trading costs on its own. The weights are the user's choice: core process 45%, two clocks 20%, and 11.7% each for the rest of the built methods, the credit skills and the books. The backtest alone would have put most weight on the built methods.

Alpha sizes are uncalibrated. The backtest (2008 to 2026) shows that this kind of estimate ranks bonds well but overstates the size of the move. Realised alpha has been about 0.08 times the predicted alpha (standard error 0.05; 0.25 since 2019). The calibrated number multiplies by that slope: -9 bp a year after costs (-28 on the 2019 slope). The slope is not above zero by two standard errors, so the number ranks the bond but does not size it. Decision page: 2026-10-22-alpha-backtest-design. The backtest has no default-loss term yet.

G1. Core process: Gatto's steps, our method and rulebook, the relative value paper

Verdict: leans to owning. This group reads Gatto's seven steps, our method and rulebook, and the relative value paper. Its estimate of expected profit is +72 bp a year before trading costs (costs are 174 bp a year); 3 of 4 of its weighted estimates point the same way. It carries 45% of the combined view and ranks 3 of the issuers on this group alone. Best alternative for the same money: NCLH.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Default chance the price assumes (shown, weight 0)	+20	0%	+0	F9; mapping C2
Earnings quality, add-backs, FCF check (can only lower)	+0	25%	+0	F3; ebitda-addback-treatment; hy-model-standards
Access to new money and the funding gap	+96	25%	+24	F4; RV PDF E75-E76
Debt against market value	+38	25%	+9	F7.7
Return above cash, repriced in every story	+154	25%	+38	RV PDF E50-E60; C1, C3

G1.1 Thesis

The bond pays 129 bp over Treasuries at 5 years. A company with its leverage (3.5x with leases) pays 105 bp on the fair line, so the bond is cheap by 24 bp. What would reveal it, and when: open question.

G1.2 The business

1. **What it sells:** A. Overview I.Summary Carnival Corporation was incorporated in Panama in 1974 and Carnival plc was incorporated in England and Wales in 2000.
2. **How it earns:** revenue 27.3bn a year at a 27% EBITDA margin.
3. **What it must spend to stand still:** rent of about $0.0bn a year, plus maintenance capital spending.
4. **Competition:** open question.
5. **What breaks it:** contracts roll off or churn; the asset value cycle turns.

Business type: A5.

G1.3 Earnings, normalised

Last 12 months: EBITDA $7.3bn at a 27% margin; margin trend over 8 quarters -0.7 (t-statistic: above 1 rising, below −1 falling). One-off items $-0.1bn. Free cash flow $3.2bn: 44% of EBITDA. Earnings-quality flags raised: EQ5 recurrence (of 4 tests the data supports). The add-back detail is in section G3.1.

G1.4 Cash, the funding gap, and the refinancing shock

Item	Value
Cash	$2.2bn
Unused credit lines (tagged)	$0.0bn
Less cash needed to run	$0.1bn
Liquidity	$2.1bn
Runway at today's cash burn, all capital spending (quarters)	no burn
First quarter cash runs out, severe case, maintenance spending only	no shortfall in 8 quarters
First quarter cash runs out, severe case, all committed spending	no shortfall in 8 quarters
Runway we quote (the shortest)	**none in 8 quarters**
Debt due in the next 18 months	$3.3bn
Cash to meet debt due in a year, base case	6.49x
Refinancing access score, likely story (0 to 6)	3

Funding gap if no lender refinances. We add cash, the unused lines and the free cash flow of the cases, then take off the debt as it falls due, quarter by quarter. The minimum cash kept back is one month of cash operating costs ($1.7bn).

Measure	Value
Lowest point, likely story (maintenance spending only)	$1.1bn
First quarter below zero, likely story	none in 8 quarters
Lowest point with all capital spending	$0.4bn
First quarter below zero with all capital spending	none in 8 quarters
Lowest point, severe case	$-1.5bn
Severe case with all capital spending: first quarter below zero	quarter 2
Lowest point, weighted over the stories	$1.1bn
Debt due inside 8 quarters, share of all debt	13%

Refinancing shock. $3.3bn falls due in the next two years. It pays about 6.65% today (TRACE coupons of bonds due inside 27 months). Refinanced at the forecast Treasury rate plus today's spread, yearly interest changes by $-0.0bn (-0.1% of EBITDA). Interest cover after refinancing: 6.1x; after capital spending 3.1x. Free cash flow after the shock: 12.6% of debt.

G1.5 Debt: going-concern view

Measure	Value
Debt	$25.6bn
Lease liabilities	$0.0bn
EBITDA, last 12 months	$7.3bn
Debt / EBITDA	3.5x
(Debt + leases) / (EBITDA + rent)	3.5x
Net debt / EBITDA	3.2x
Coverage (after all capital spending)	3.1x
Fixed-charge cover (after maintenance spending)	3.86x

Bond	Coupon	Matures	Price	Yield	Spread (bp)
143658AH5	6.65%	2028-01-15	101.9	5.15%	66
143658CB6	5.12%	2029-05-01	98.7	5.68%	96
143658BY7	5.75%	2030-03-15	99.6	5.87%	111
143658BZ4	5.87%	2031-06-15	99.1	6.09%	131
143658CA8	5.75%	2032-08-01	98.0	6.16%	134
143658BX9	6.12%	2033-02-15	98.9	6.34%	151

Claims view (who is paid what in a default): open question until the debt documents are read.

G1.6 Company value

Market value of the whole company $62bn (shares $38bn plus net debt): 8.4x EBITDA; debt is 41% of it. Our own valuation range and the bonds' recovery if the company defaults: open questions (they need a peer set and a distressed multiple).

G1.7 The decision against cash

We put the same money in the bond nearest five years (143658BZ4, 5.88% due 2031-06-15, price 99.11 plus 1.52 accrued) or in six-month Treasury bills at 4.20%. In each story the bond either survives and is repriced, or defaults and returns 35 per 100 (a 40% recovery paid a year later, valued at 15% a year). In default the holder loses 65% of the price paid.

Measure	Value
Expected return above cash, bp a year	+154
Chance of a loss over six months	8.7%
Chance of doing worse than cash	9.1%
Average loss in the worst 5% of outcomes	5.9%
Same, with rates and the market hedged out, bp a year	+24
Best alternative in this run (worst 5% loss within the 25% budget)	NCLH
Return given up against that alternative, bp a year	+292

G2. Built methods: two clocks, stories and cases, relative value, the gate

Verdict: leans to owning. This group reads the spread level, the fair line and the pair, the economic stories, the health panel. Its estimate of expected profit is +16 bp a year before trading costs (costs are 174 bp a year); 3 of 5 of its weighted estimates point the same way. It carries 12% of the combined view and ranks 4 of the issuers on this group alone. Gate: pass.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread level: the extra pay over the market (carry)	-39	42%	-16	Spec S14 E0; K15
Weighted cases and stories	+57	25%	+14	M5.4, M7.5
Spread against the fair line	+58	17%	+10	M7.4, M7.5
The pair	-22	8%	-2	M7.4; F10 S4
Health panel	+117	8%	+10	F8

G2.1 The two clocks: bills against what pays for them

Verdict: leans to owning. This group reads the bills the company owes against the revenue customers have signed for. Its estimate of expected profit is +88 bp a year before trading costs (costs are 174 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 20% of the combined view and ranks 4 of the issuers on this group alone. The clocks count as their own bucket in the combined view.

Estimate	bp a year	Weight in group	Adds	Where it comes from
The two clocks	+88	100%	+88	M4.7

Fixed bills total $50.7bn, centred 4.7 years out: leases in force $1.8bn, debt principal $25.6bn, interest $4.8bn, purchase commitments $18.5bn. That is 6.9 years of today's EBITDAR; next year's bills take 63% of it. The company discloses no material signed revenue, so the second clock is today's earnings held flat (chart at the end).

G2.2 Economic stories and cases

Cases on the most likely story (soft landing), stage of the cycle: expansion.

Case	Weight	Growth / qtr	Leverage in 1 yr	Peak leverage	Lowest liquidity	Cash runs out	Refi fails
base	64%	1.3%	3.4x	4.2x	$2.9bn	no	no
down moderate	11%	1.6%	4.1x	4.5x	$2.5bn	no	no
down severe	4%	1.6%	5.6x	5.6x	$2.2bn	no	no
upside	21%	1.5%	2.9x	3.8x	$3.3bn	no	no

Story	Chance	Leverage in 1 yr	Peak leverage (down)	Refi fails	Default chance	Expected profit (bp/yr)
soft landing	86%	3.5x	5.6x	0%	0.7%	55
recession	2%	3.7x	5.9x	0%	1.9%	144
higher for longer	8%	3.5x	5.6x	0%	0.9%	65
disinflation rally	4%	3.4x	5.5x	0%	0.6%	43
stagflation	0%	3.7x	5.9x	0%	1.9%	146

G2.3 Relative value and the pair

Fair line: log spread = -5.64 + 0.312 x leverage, fitted on 8 issuers in this run. 5-year spread 129 bp against a fair 105 bp. **Against peers.** Peers are the high yield bonds that traded in 2026-08-31 (733 bonds with leverage on file), in the same 3 to 7 year maturity bucket. Sector: Consumer Discretionary. Rating class: BB (implied by leverage). A positive value means the issuer pays more than the median peer.

Peer group	Excess spread to peers (ESP)	Spread per turn against peers (E13)
Sector and rating	-10%	-17%
Sector only	-22%	+27%
Rating only	-10%	-12%

SPiDER (spread per unit of debt to 10-year average EBITDA; Dynkin et al. 2021, ch. 14): cheaper than 18% of the peer bonds across all sectors, and -64% against sector and rating peers. It has no weight in the score: its edge beyond spread level is small (t 1.3 at 12 months). **Against NCLH.** Spreads at 5 years: CCL 129 bp, NCLH 258 bp.

Spread per	CCL	NCLH	Cheaper
turn of leverage	37	45	NCLH

The fair line favours long NCLH, short CCL: a gap of 3 bp, which halves in about 3 weeks on six months of trades. Under the stories the pair earns soft landing +6, recession +156, higher for longer +35, disinflation rally -28, stagflation +118 bp a year; weighted +11 bp before costs.

G2.4 Expected profit and price against our view

Hedged 5-year bond over six months: 57 bp a year before trading costs, -116 bp after. It does not beat costs. The expected default loss is charged on the price paid: 65% of it in default, not 60% of face.

Question	Price assumes	Our view	Gap	Noise	Gap bigger than noise?
Default chance at the v0 price of risk (shown, not tested)	1.1%	0.8%	-0.3%	open	not tested
Breakeven default probability, 12 months (loss on price)	2.0%	0.8%	-1.2%	1.0%	yes
Leverage the spread is pricing	4.15	3.49	-0.66	0.90	no
Spread against fair (bp)	129	105	-24	29	no
Rating class	open	BBB	open	open	not tested
Recovery if default (per 1 of face, discounted for delay)	open	0.35	open	open	not tested

The first row turns the spread into a default chance with a fixed price of risk. That is not a real default chance, so it is shown but not tested. The breakeven row asks a cleaner question: is our default chance below the rate at which the spread only just pays for default losses?

G2.5 Risks and the health panel

Measure	Value	Band
Refinancing access score (0 to 6)	3.00	amber
Earnings-quality flags	1.00	amber
Margin trend (t-statistic)	-0.72	amber
Coverage	3.09	green
Fixed-charge cover	3.86	green
Cash conversion (FCF / EBITDA)	0.44	green
Free cash flow / debt	0.13	green
Cash to meet debt due in 1 year (base case)	6.49	green
Weight on the downside cases	0.15	green
Chance debt due in 1 year is not covered	0.00	green
Chance cash runs out within 2 years	0.00	green

G3. Credit skills: the lender's checklists applied to a public bond

Verdict: no objection. This group reads the lender's checklists: add-backs, covenants, watchlist, trend, memo structure. Its estimate of expected profit is +0 bp a year before trading costs (costs are 174 bp a year); 1 of 1 of its weighted estimates point the same way. It carries 12% of the combined view and ranks 1 of the issuers on this group alone. Its estimates can only lower the combined number: a clean checklist earns no credit. Watchlist: none.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Watchlist tier (can only lower)	+0	100%	+0	borrower-monitoring; covenant-compliance

G3.1 Add-backs and their cash effect

Reported EBITDA over the last 12 months is $7.2bn. The company's own measure adds back $0.1bn of one-off items to reach $7.3bn: 1.5% of reported EBITDA (a negative figure is a one-off gain taken out). This is under the 5% line for one item. They do not recur in three quarters running. If every add-back were paid in cash, free cash flow would be $3.1bn. The two roads to free cash flow (the EBITDA bridge, $3.0bn; operating cash flow less capital spending, $3.2bn) differ by 2% of EBITDA: within the 10% tolerance. The add-back table by category is an open question: the data has one total line.

G3.2 Covenant headroom

The filing states these maintenance tests. We test them on our own ratio, which uses our EBITDA, not the covenant's, and the whole group.

Test	Level	Our ratio	Headroom	Band	Notes
Maintain minimum interest coverage	3.00	6.07	51%	comfortable	EBITDA / cash interest
minimum liquidity	1,500.00	2,243.00	33%	comfortable	cash only (unused lines not tagged)

Tightest headroom we can read: 33% (comfortable). The lender's bands: 20% or more is comfortable, 10% to 20% needs attention, under 10% is tight.

G3.3 Watchlist and trajectory

Watchlist tier: **none**: no trigger is met. EBITDA against the same months a year earlier: 6.6% (no plan is public, so last year stands in for it). Open: liquidity against debt due cannot be read: revolver capacity not tagged.

Measure	Direction	How much weight	Change on a year earlier, last quarter
revenue	improving	trend	5.3%
EBITDA	deteriorating	observation	-3.2%
EBITDA margin	deteriorating	observation	-8.1%
cash conversion	improving	data point	17.6%

One quarter is an observation, two a data point, three or four a trend. The measures point different ways; the memo must explain why.

G3.4 Memo structure check

Section	Requires	Status
Executive summary	the business in one sentence, the opportunity, 2 to 3 reasons, 2 to 3 risks	pass
Capital structure	each tranche with face, coupon, maturity; senior, total and net leverage; LTV	open
Terms	maintenance covenant levels and test dates; incurrence baskets; call terms	open
Investment merits	free cash flow generation and the base-case deleveraging path	pass
Key risks	3 to 5 issuer-specific risks, each with a mitigant	pass
Historical financials	at least 3 years, quarterly where available	pass
EBITDA adjustments	reported-to-adjusted bridge with the load as a share of EBITDA and the 5% flag	open
Model output	base and downside: EBITDA, FCF, leverage path, covenant headroom, liquidity runway	pass

Rules that do not transfer to a public bond:

- The compliance certificate is the source of truth; public bonds have none. Headroom here uses our own ratio against a level parsed from the filing text. (covenant-compliance)
- Equity cures, step-down schedules and window-dressing checks need the credit agreement and monthly revolver balances. (covenant-compliance)
- Performance against the sponsor plan: no plan is public. The proxy is the same quarters a year earlier. (borrower-monitoring)
- Add-back caps and the certificate reconciliation live in the credit agreement. Compustat gives one special-items line, not the category table. (ebitda-addback-treatment)
- Sources and uses at entry, the sponsor case and the management call apply to new loans, not to bonds bought in the secondary market. (credit-memo-standards)
- Monthly lender packages do not exist for public issuers; XBRL quarters replace them. (quarterly-package-extraction)

G4. Books: Kricheff, and Ganguin and Bilardello (S&P)

Verdict: leans to owning. This group reads Kricheff's cash bridge and ratios; the S&P risk profiles and rating anchor. Its estimate of expected profit is +100 bp a year before trading costs (costs are 174 bp a year); 2 of 2 of its weighted estimates point the same way. It carries 12% of the combined view and ranks 3 of the issuers on this group alone. S&P anchor class: BBB.

Estimate	bp a year	Weight in group	Adds	Where it comes from
Spread against the S&P risk score	+106	50%	+53	Ganguin and Bilardello ch. 10
Spread per turn of leverage (with the trap guard)	+94	50%	+47	Kricheff ch. 21

G4.1 Kricheff's cash-flow bridge and ratio set

Line (last 12 months)	Value
Adjusted EBITDA	$7.3bn
less capital spending	$3.6bn
less cash interest	$1.2bn
less cash taxes	$0.0bn
less increase in working capital	$-0.5bn
Free cash flow	**$3.0bn**
Check: free cash flow before capital spending less operating cash flow	$-0.2bn
Free cash flow after dividends	open (dividends not loaded)

Ratio	Value	Ratio	Value
EBITDA / cash interest	6.1x	Debt / EBITDA	3.5x
(EBITDA − capex) / interest	3.1x	Net debt / EBITDA	3.2x
(EBITDA − maintenance capex) / interest	3.9x	Free cash flow / debt	13.0%
EBITDA / debt (highest rate at 1x cover)	29.0%	Market value / EBITDA	8.4x
Equity cushion (1 − debt / market value)	59%	Spread per turn of leverage	37 bp

Kricheff's snapshot rule: operating cash flow covers capital spending. Spread per turn compares the bond with the run's median of 38 bp a turn. Kricheff warns that a high spread per turn can mean weak cash flow, not value; read it with free cash flow / debt. The book measures leverage through each bond's rank; with no face by rank, total leverage stands in.

G4.2 The S&P risk profiles and the rating anchor

S&P adds leases to debt and scores each ratio against the median of each rating class (CreditStats 2002, from the book). Scores run from 1 (safest) to 10 (default).

Ratio	Value	Score	BB median	B median
Debt / (debt + market value of equity)	40%	3.0	57.5%	78.5%
Funds from operations / debt	24%	6.6	19.5%	10.8%
Free operating cash flow / debt	13%	6.5	8.5%	2.5%
EBITDA / interest (with lease interest)	6.1x	5.2	3.2x	1.8x
EBITDA margin	27%	3.0		

Financial risk score 5.1. Business risk score 4.5: industry 5, steadiness of sales 3 (year-on-year growth varies by 3.7%), customer spread 5. The book puts 45% of the weight on business risk for this class, so the default risk score is 4.8: the **BBB** class. The line from score to spread across the run did not slope upward, so it gives no estimate. The 2005 edition has no modern anchor table; its own weighting table stands in for it.

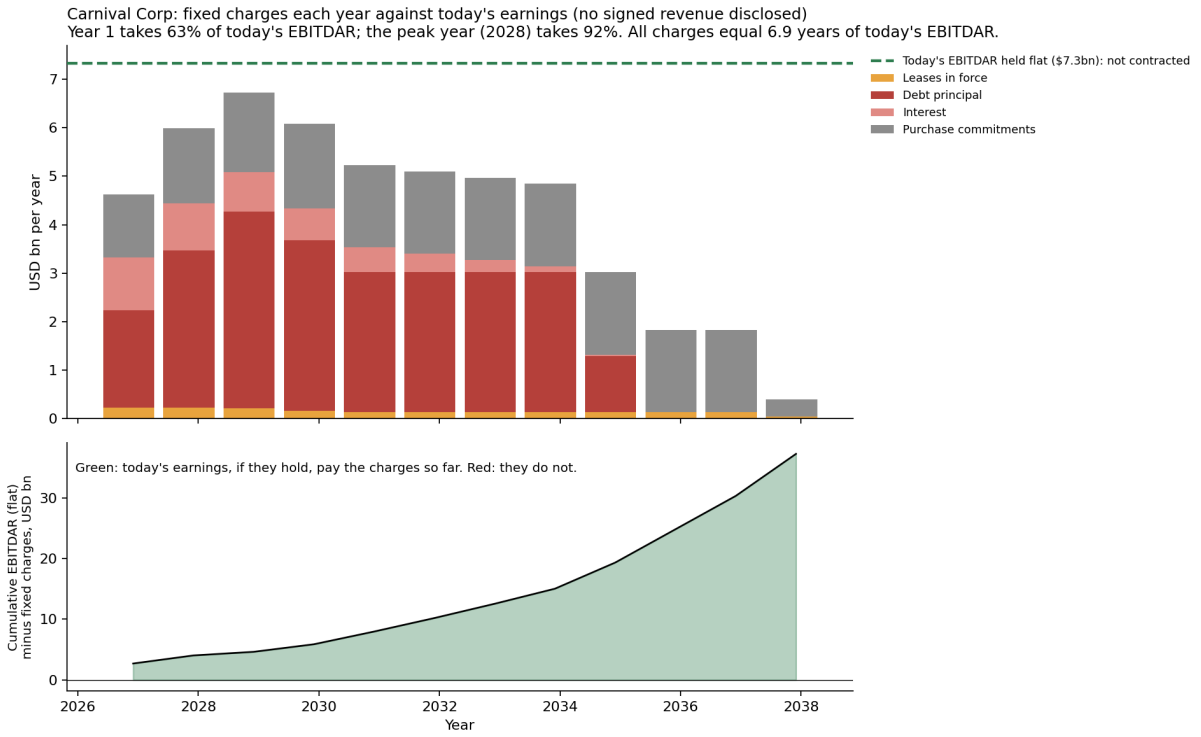
Coming events, open questions, and the record

- Next quarterly results (estimated from filing cadence): 2026-09-25 (estimate).
- Debt due by 0.5 years out: - $0.7bn.

Open questions, most important first:

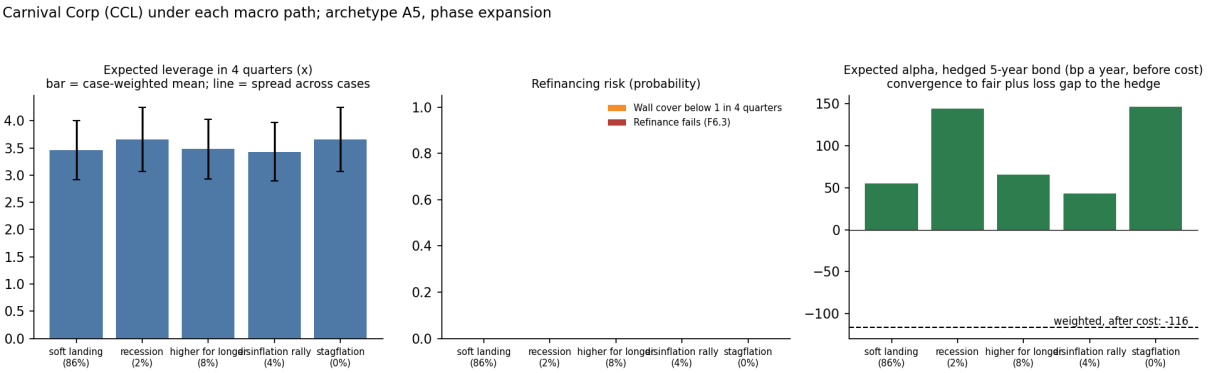
1. A dated catalyst that would close the gap (G2).
2. The observable and level that would prove the call wrong (G8).
3. Face amount of each tranche and the secured debt ahead of the bonds (debt note table).
4. Claims view: allowed claims by class and the entity map (framework F5).
5. Revolver commitment, draw, and borrowing base: not tagged; read the credit agreement note.
6. F4 points 3 (unencumbered assets) and 6 (sponsor support) are scored 0 until read.
7. Recovery, delay and the required return on a defaulted claim are v0 (R = 0.4, tau = 1 year, k = 15%); the claims view and documents replace them.
8. Peer set of at least four issuers of the same archetype (F3.3) for the valuation range (F7.1).
9. Distressed multiple (F7.3) and the recovery of the bonds if the company defaults (F7.9).
10. Add-back table by class C1 to C10: read the company's adjusted EBITDA reconciliation (8-K exhibit 99); Compustat gives one special-items line, so the 5% test runs on the total.

Record (filled at exit): exit date; return against the rating-matched index; worst point against the index; reason; the rule that would have helped.



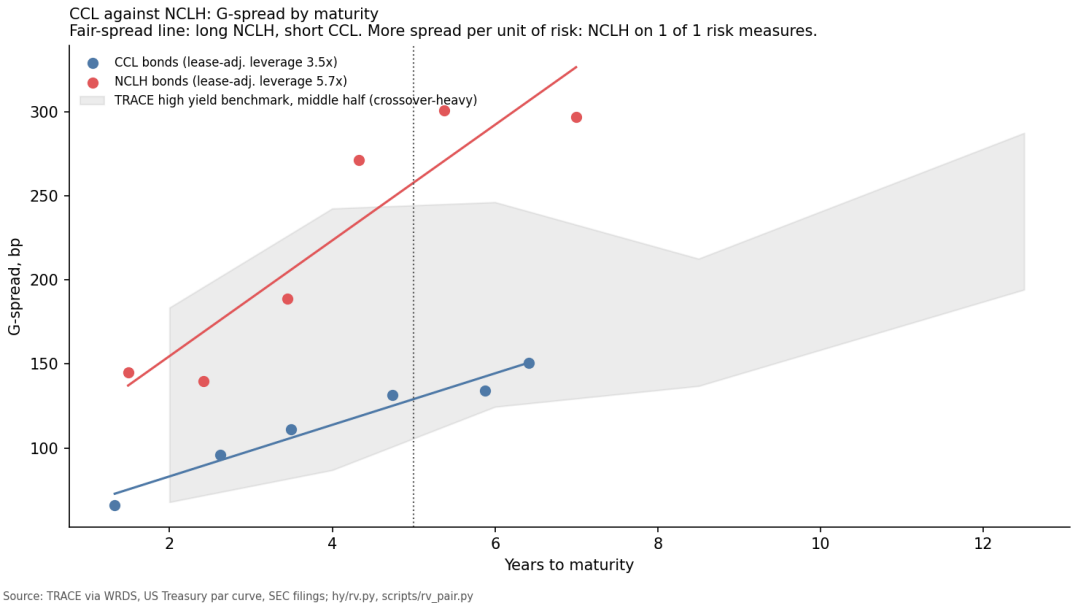
Source: Carnival Corp SEC filings as of 2026-05-31 (XBRL); EBITDA from the point-in-time loader; hy/clocks.py.

The two clocks (section G2.1).



Paths: SPF, FOMC SEP, Treasury forwards, TRACE HY level. v0 rules for fair spread, PD, refi access: docs/decisions/2026-10-22-issuer-scenario-defaults.md

The company under each economic story (section G2.2).



The pair (section G2.3).